

Econ 2 - Lecture 15 - 5/20/26

Lecture Quiz 7 Released Today

Due Wednesday, May 27th (Memorial Day on Monday)

Today: Money $\rightarrow$ Monetary Policy

Last Class: What is money?

3 Main Characteristics of Money

1. Medium of Exchange

2. Unit of Account

3. Store of Value

Categories of Money: Based on liquidity

Liquidity: ability to use the form of money
to buy goods/services

M1: Most liquid form of money

$\rightarrow$ Cash & coins $\Rightarrow \sim 2-3T$

$\rightarrow$ Debit Card / Checking Acct. $\sim 18T$

} $\sim 20T$

$\rightarrow$ Credit Cards? Short-term Loan

$\rightarrow$ Interest Rate on Cards $\approx 25-30\%$

$\rightarrow$ If you have a balance/owe of \$1000 due on 6/1
But pay before 6/1 $\rightarrow$ no interest payment

M2: M1 + Time Deposits

- Savings Acct. → requires one step before payment
- Money Market funds
- Certificate of Deposits (CDs)

Banks: Broker between savers & borrowers

- ↳ Incentive for savers to store money
- ↳ Lend money out to borrowers
- ↳ Single lending/borrowing transaction

Federal Reserve: Central Bank of Country

"The Fed" ≠ Gov't / Congress

Appointed by President, confirmed by Congress
→ "Independent Body"

FOMC → Federal Open Market Committee
Meeting → 8 times per year

Chair of Fed + 6 Board + 12 Branch Presidents
↳ Vote on monetary policy

Goals of Fed

1) Maximum Employment

2) Price Stability

Monetary Policy: changing the M1 money supply, through open-market operations, with the goal of altering short-term interest rates

Open - Market Purchase:

Fed buys bonds from public

Public give bonds to Fed $\rightarrow$ Fed gives money to Public

Open - market Sale:

Fed sell bonds to Public

Public give money to Fed $\rightarrow$ Fed gives bonds to Public

Bond in Monetary Policy

Example: \$100, one-year bond

In one year, bond matures, converts to \$100

Bond	\$100
5/26/2027	

Max Price = \$99.99

Price < \$100 $\rightarrow$ Earn interest

Price = \$75 $\rightarrow$ Earn \$25

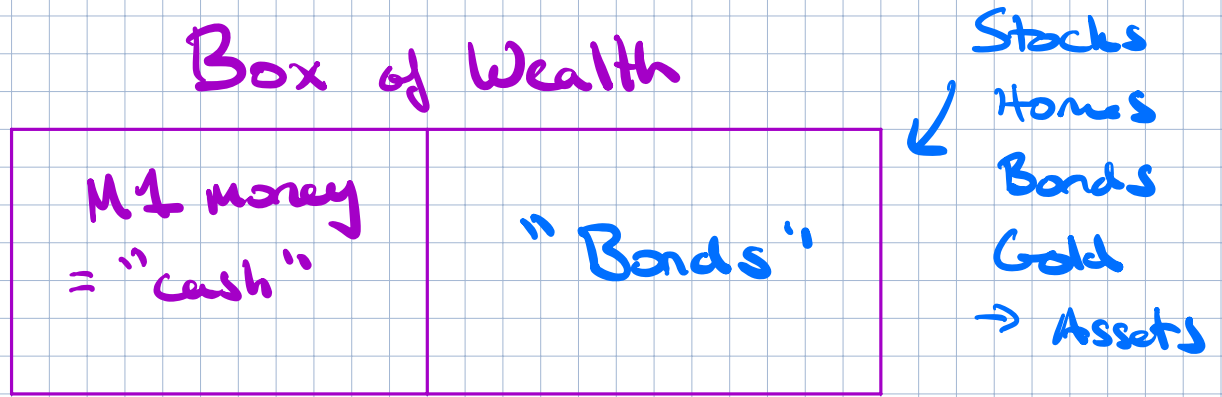
Target Federal Funds Rate (FFR)

$\rightarrow$ Interest Rate charged on overnight bank-to-bank lending

Lower bound of interest rates

Develop a model for M1 money $\rightarrow$ FFR

"What makes you want to hold onto M1 money?"



Benefit of holding cash:

Buy goods / services → without transaction costs

Benefit of holding on to bonds:

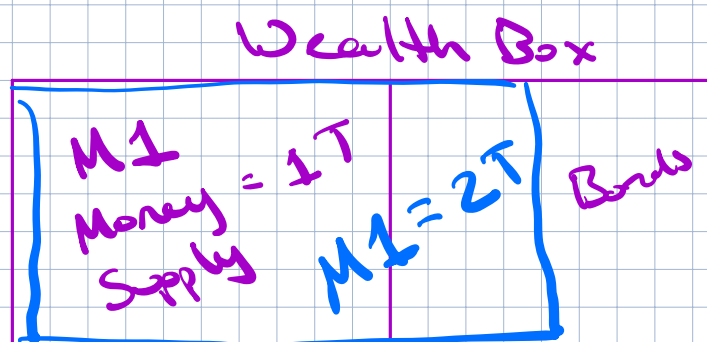
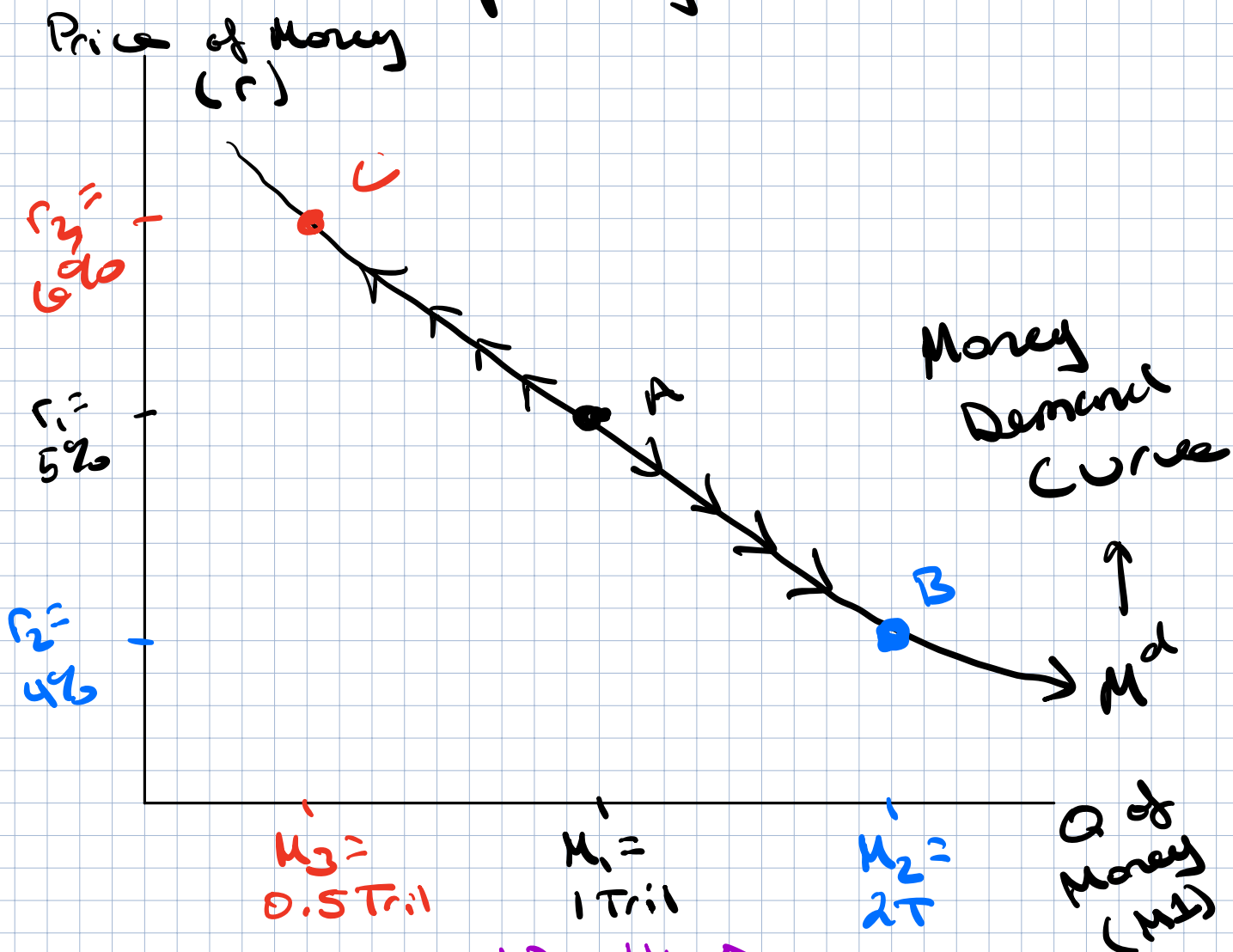
"Return on other assets / bonds" → 5%

Cost of Holding \$1 in Cash → 5%, interest rate

Opportunity Cost of M1 Money = Money = interest rate

Price of Money = r

Graph Relationship between Quantity of Money Demanded and Price of Money

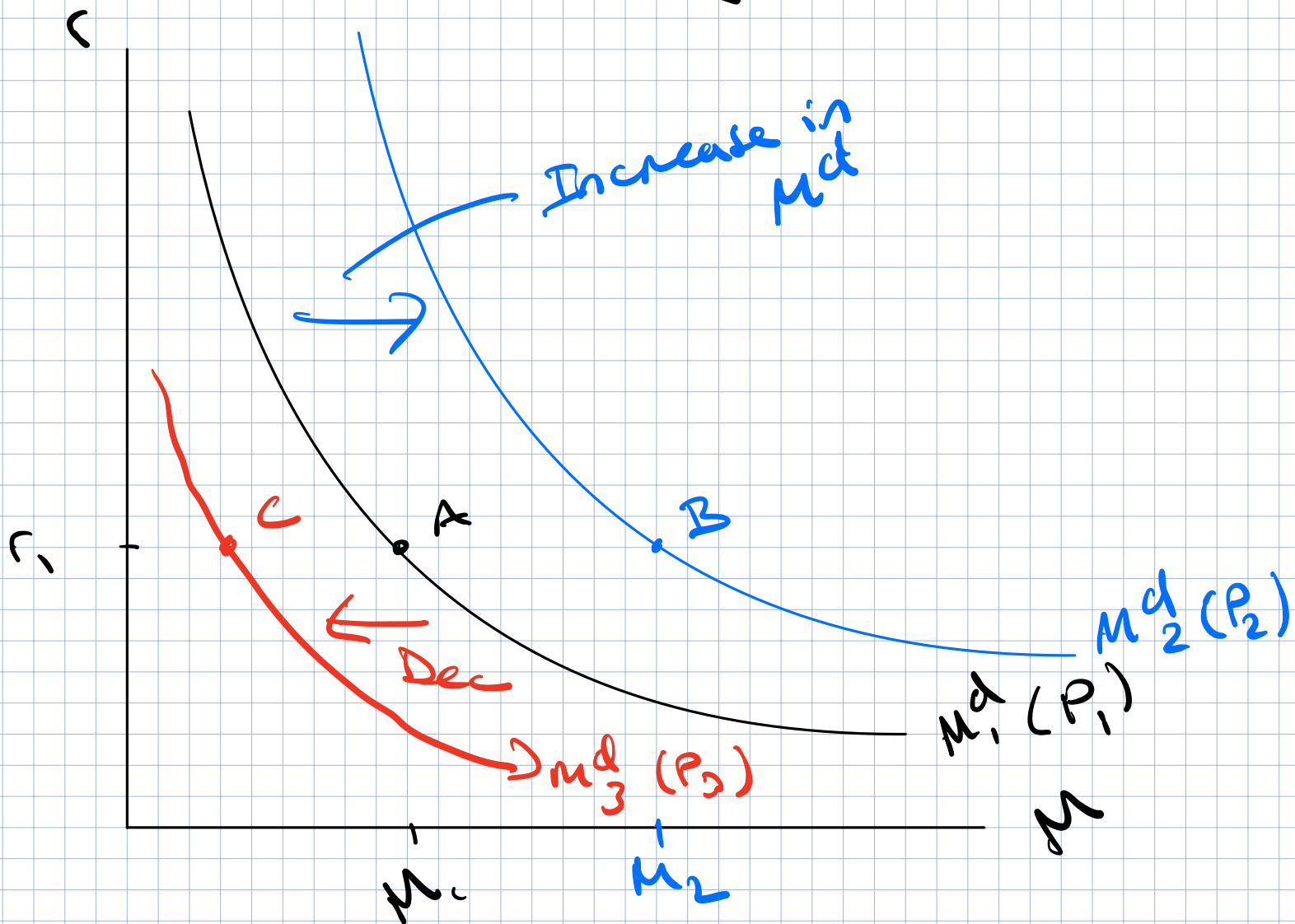


$r_1 = 5\%$

$r_2 = 4\%$

M^d Curve: As $r \downarrow$, Q of Money Demanded $\uparrow$
 $\rightarrow$ Bonds to Cash (A to B)
 As $r \uparrow$, Q $\downarrow \Rightarrow$ Cash to Bonds (A to C)

What shifts the money demand curve?



Biggest Shifter of M^d

1) Prices

If prices $\uparrow \Rightarrow$ Need more cash, fewer bonds

If prices $\downarrow \Rightarrow$ Need less cash, buy bonds

2) Size of Wealth Box

$\left. \begin{array}{l} \rightarrow \text{Income} \\ \rightarrow \text{Stock Market} \\ \rightarrow \text{Housing Value} \end{array} \right\} \text{influence wealth box} \approx Y$